farmland at Asal Uttar near Khem Karan to bog down a Pakistani armoured division that threatened to break Indian lines. India was able to blunt the attack and destroy a large number of Pakistani tanks, and this prevented what might otherwise have been a catastrophic military disaster for India. [122] Meanwhile, on the diplomatic front, even as the U.S. suspended military assistance to both countries, Turkey, Iran, and Indonesia continued to provide material support to Pakistan in the form of arms, ammunition, and fuel. India also retained serious concerns about Chinese involvement, even if they did not materialize. The war ended with a UN-sponsored ceasefire on 23 September. In January 1966, the Soviet Union hosted an India–Pakistan summit at Tashkent. The resulting agreement returned captured territory by both sides but was overshadowed by the sudden death in Tashkent of Prime Minister Shastri.

While the 1965 war was brief and a stalemate, it had several important consequences. In many respects, it changed the future of the subcontinent. In the immediate aftermath, the Tashkent Agreement was criticized in both countries. Many in India, even at the time, lambasted the return of Haji Pir, which might have stemmed future infiltration from Pakistan. India also believed that while it did its part in returning relations to normal—swiftly repatriating prisoners of war and resuming overflights between West and East Pakistan—the sentiment was not reciprocated. In Pakistan, Ayub Khan's reputation and position deteriorated. While public propaganda had projected Pakistani efforts during the war as successful, the Tashkent Declaration came as a shock to many Pakistanis. Ayub Khan was soon replaced by his former protégé, General Yahya Khan.

The conflict also had longer term security implications for both India and Pakistan. In India, the war exposed India's intelligence failings, contributing to the creation of a separate external intelligence agency: the Research and Analysis Wing. It also resurrected confidence in the Indian Army after 1962, while compelling it to rethink some of its acquisitions for armoured warfare. For Pakistan, its war experience led it to advance the use of sub-conventional forces against India and led to greater advocacy for nuclear weapons. With the US cutting off arms supplies to both sides,